



FREE GUIDE

Sales Tax Nexus Checklist

A practical self-assessment: does your business have sales tax obligations in other states?

Since the 2018 *South Dakota v. Wayfair* decision, states can require you to collect sales tax **even without physical presence**. Work through the four sections below and check every box that applies to your business. Then use the score guide to decide your next move.

1

Physical Nexus

Traditional presence still creates obligations. Do any of these apply?

- ☐ We have **employees, contractors, or sales reps** working in another state — including remote employees.
- ☐ We store **inventory** in another state, including Amazon FBA or third-party (3PL) warehouses.
- ☐ We have an **office, store, warehouse, or other property** outside our home state.
- ☐ We make **deliveries in our own vehicles** across state lines.
- ☐ We attend **trade shows** or perform on-site services or installations in other states.

2

Economic Nexus

Post-Wayfair, revenue or transaction volume alone can create nexus.

- ☐ We have more than **\$100,000 in annual sales** into any single state.
- ☐ We have **200 or more separate transactions** into any single state per year.
- ☐ We sell into large-threshold states (e.g., California, Texas, New York) and may exceed **\$500,000**.
- ☐ We are growing quickly — thresholds we're under today could be crossed **mid-year**.
- ☐ We do **not track revenue and transaction counts by state** on a monthly basis.

3

Marketplace & Product Risk

Marketplace collection doesn't cover everything you sell.

- ☐ We sell on **Amazon, eBay, Etsy, or Walmart** and also through our own website — direct sales remain our responsibility.
- ☐ We are **not sure what tax our marketplaces collect** on our behalf, or whether marketplace sales count toward our thresholds.
- ☐ We sell **SaaS, software, or digital goods** — taxable in many states, often unexpectedly.
- ☐ We assume our products or services are **exempt** without state-by-state confirmation.
- ☐ We accept **exemption certificates** without a process to collect, validate, and store them.



4

Compliance Gaps

Nexus is only half the story — execution risk counts too.

- ☐ We haven't reviewed our nexus footprint in the **past 12 months**.
- ☐ We made sales into a state **before registering** there.
- ☐ We received a **nexus questionnaire or notice** from a state and haven't fully resolved it.
- ☐ We have **no documentation** of when and where nexus was established.
- ☐ We have **no filing calendar** or clear owner for sales tax returns.

How did you score?

0 boxes checked

Nice work. Keep monitoring monthly — thresholds are measured on current or trailing-year sales and can be crossed quickly.

1–2 boxes checked

You likely have exposure in at least one state. Quantify it now: identify the states, the dates, and the dollars before a state does.

3+ boxes checked

Act now. A nexus study will map your obligations, and a voluntary disclosure (VDA) can cut penalties and limit lookback periods.

If you checked boxes: your next four moves

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|---|--|
| 1. Run a nexus study | Map economic and physical nexus by state, with thresholds, trigger dates, and estimated exposure. |
| 2. Fix the past first | Where exposure exists, a voluntary disclosure (VDA) can reduce penalties and limit lookback — register only after the strategy is set. |
| 3. Register & set the calendar | Get permits, marketplace settings, and a filing calendar in place — before your next sale where you have nexus. |
| 4. Build monitoring | Review sales by state monthly, reassess nexus quarterly, and audit registrations annually. |

Not sure where you stand? We'll tell you.

We deliver nexus & exposure studies in 1–2 weeks — economic and physical nexus by state, with thresholds, dates, and a remediation plan. Audit-ready documentation, plain language, no software resale.

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